

Webull Corporation

BULL | October 4, 2026

BUY

Fair value (12-mo horizon reference)	\$9.00
Current price (October 2, 2026 close)	\$7.34
Implied upside / downside	+23%
Verdict	BUY

Investment Thesis

Webull went public through a SPAC merger with SK Growth Opportunities in April 2025, and the stock did what SPAC stocks do: it spiked toward \$80 within days on a \$37 billion implied valuation, then spent the next sixteen months falling roughly 90% as the market priced it as a broken deal rather than a business. Our judgment is that the market is still pricing the deal, not the business. The second quarter of 2026 was the best in company history: record revenue, a \$34.7 million pretax profit, and revenue growth that led scaled US retail brokers.

The business underneath the chart is a genuinely global retail brokerage: more than 23 million registered users and 50 million-plus app downloads across 14 markets, served through licensed local broker-dealers, with commission-free trading in stocks, ETFs, options, and -- relaunched -- crypto. Monetization runs through payment for order flow, margin lending, securities lending, and a \$40-per-year premium tier. At roughly 5.5 to 6 times trailing sales, Webull trades at about a third of Robinhood's multiple while growing revenue faster. That gap, in our view, reflects SPAC stigma and post-listing selling overhangs more than fundamentals.

The risks are real and, we believe, priced in: payment-for-order-flow faces perennial regulatory scrutiny, retail trading volumes are cyclical, competition with Robinhood and incumbents is fierce, and the company's Chinese origins still invite questions -- mitigated by US re-domiciling and a St. Petersburg, Florida headquarters. But at \$7.34 the market capitalizes Webull as if international expansion and the crypto relaunch add nothing. We see 23% upside to our \$9.00 fair value, with a path to considerably more if the company strings together two or three clean quarters and the SPAC discount decays. **BUY**.

Business Overview

Webull was founded in 2016 by Wang Anquan, a former Alibaba executive, with early backing from Chinese technology investors including Xiaomi. It launched in the United States in 2018, gained traction during the 2020-2021 retail trading wave, and -- to address US-China regulatory concerns -- separated from its Chinese parent, re-domiciled in the US, and established headquarters first in New York and now in St. Petersburg, Florida. The April 2025 business combination with SK Growth Opportunities, a SPAC affiliated with South Korea's SK Group, brought Webull to Nasdaq under the ticker BULL.

The platform differentiates on depth rather than simplicity: professional-grade charting, extended-hours trading, and advanced order types aimed at active self-directed investors, contrasting with simpler competitor apps. Geographic diversification is the strategic edge -- 14 markets across North America, Asia-Pacific, Europe, and Latin America -- giving Webull growth avenues beyond the saturated US retail brokerage market.

Forward Outlook

We see three compounding growth levers. First, international markets: Webull's licensed footprint in Asia-Pacific and Latin America addresses retail-investor populations that are earlier in their adoption curve than the US, and early coverage suggests analysts expect 25%+ annual revenue growth through 2027. Second, the crypto trading relaunch captures a high-margin, high-engagement product that competitors monetize aggressively. Third, conversion: with 23 million-plus registered users against a much smaller funded-account base (4.3 million funded accounts at the end of 2023), each point of conversion is operating leverage.

Profitability inflection is the story of 2026. The Q2 pretax profit of \$34.7 million, on record revenue, suggests the business has crossed from growth-at-all-costs into scalable economics -- payment for order flow and margin interest scale with volumes while the technology platform cost base grows more slowly. Our base case assumes this operating leverage continues and international markets contribute an increasing share of funded-account growth.

The key variable we watch is not user growth but funded-account and asset growth: registered users are vanity, assets are revenue. Continued progress there, plus clean quarterly prints that bury the SPAC narrative, is what closes the valuation gap to Robinhood.

Valuation

We value Webull on a probability-weighted scenario DCF with a 12% base discount rate, reflecting its short public history, post-SPAC overhang, and regulatory exposure -- a speculative-situations rate, not a mature-brokerage one. The base case assumes revenue compounds above 20% through the explicit horizon as international markets and crypto scale, with pretax margins expanding as the platform leverages its fixed technology base. The bear case assumes payment-for-order-flow restrictions, a retail-trading downturn, and stalled international conversion -- a genuinely adverse outcome that sits well below the current \$7.34 price. The bull case assumes Webull closes a meaningful portion of the Robinhood multiple gap as clean quarters accumulate. The 25% / 50% / 25% weighted fair value equals our \$9.00 target. Terminal growth is capped at 2.5% on normalized margins.

Key Risks

- Payment-for-order-flow regulation: SEC or international restrictions would directly impair the core revenue model.
- Retail trading cyclical: volumes and new-account growth mean-revert in weak markets.
- Competition: Robinhood, eToro, and incumbent brokers compete aggressively on product and pricing.
- Post-SPAC selling overhang: insider and early-holder selling pressure can persist independent of fundamentals.
- International regulatory complexity: 14 licensed markets means 14 regulatory regimes and compliance burdens.
- Crypto volatility: the relaunched crypto offering adds a cyclical, reputationally sensitive revenue stream.
- Governance overhang: Chinese origins continue to invite scrutiny despite US re-domiciling.

What Would Change Our Mind

- Funded-account and customer-asset growth stalling for two consecutive quarters -- the leading indicator we trust most.
- Any regulatory move restricting payment for order flow in the US or a major international market.
- A return to sustained pretax losses, breaking the operating-leverage narrative.
- Evidence that international expansion is failing to convert registered users into funded accounts.
- A governance or fraud event of any kind -- an immediate thesis break.
- To the upside: three consecutive clean quarters with accelerating funded-account growth would justify revisiting fair value materially higher.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit forecast horizon -- 10 years for most businesses -- weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth applied to normalized mid-cycle margins -- never peak margins -- and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants.

For Webull we apply a 12% base discount rate -- the speculative-situations end of our framework -- reflecting its sixteen months as a public company, the post-SPAC selling overhang, and payment-for-order-flow regulatory exposure. The bear case adds 250bp to this rate and the bull case subtracts 150bp, consistent with the framework above.

Disclaimer

This report is independent research analysis for informational purposes only. It is not investment advice, a recommendation to buy or sell any security, or an offer to buy or sell any security. Valuations are inherently uncertain and scenario-dependent.